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China Materials | Asia Pacific

Aluminum overproduction inspection starts, reports

What's new? - Based on our industry channel checks, environmental inspection teams have recently been stationed in Guangxi, Xinjiang, and a few other provinces. According to Aladdiny, the inspection teams have confirmed smelter overproduction exists, with average capacity utilization reaching 102-103% this year. Due to the inspection, our checks indicate that a smelter in Guangxi has suspended ~200kt of capacity.

Our read - Assuming a stricter enforcement of checks, we think the inspection could affect ~400-500kt of aluminum smelting capacity in China, which would lead to lower supply in the domestic market. Meanwhile, export demand has remained strong, especially for twisted wire products, given tight supply overseas due to the Middle East conflict. This, together with a potential decline in market supply, could lead to further digestion of social inventory in China, supporting an increase in aluminum prices in the near term. This would benefit Chalco, Shenhua, Tianshan, Hongqiao, and Chuangxin under our coverage.

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GREATER CHINA MATERIALS	
Asia Pacific	
Industry View	Attractive

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/25/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb18.51
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$3.30
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb48.51
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb8.10
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb197.80
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb67.01
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb66.42
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb57.09
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$29.62
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$21.76
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$8.16
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb12.17
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$9.14
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb19.44

Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb30.30
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb15.39
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$10.32
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb53.19
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb10.99
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$10.87
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.95
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb23.86
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb14.10
China Jushi (600176.SS)	O (12/22/2020)	Rmb39.42
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.53
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$19.50
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$18.44
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb19.34
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb53.88
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$36.46
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.13
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb75.10
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$68.20
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb74.61
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb27.10
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$36.32
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb45.03
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$20.66
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb34.95
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.48
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb30.06
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$24.76
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb5.22
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$52.15
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb66.67
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb9.87
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$21.98
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$139.00
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$33.88
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb31.35

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.